BANK & FINANCIAL INSTITUTIONS ACT (BAFIA), 2073

बैंक तथा वित्तीय संस्था ऐन, २०७३



COMPLETE INFOGRAPHIC BASED COVERAGE

SIMPLE EXPLANATION

EASY TO UNDERSTAND

By CA GOVINDA TAMANG

ONE STOP GUIDE FOR BAFIA, 2073

ALL PROVISIONS COVERED

VISUALLY SIMPLIFIED

CLEAR | CONCISE PRACTICAL

INTRODUCTION TO
BANK & FINANCIAL INSTITUTIONS ACT 2073
(Act No. 1 of 2074)

AN ACT ENACTED FOR AMENDMENT AND CONSOLIDATION IN LAWS RELATING TO BANKS AND FINANCIAL INSTITUTIONS

ORIGIN & ENACTMENT



Enacted by Legislature-Parliament



Pursuant to the Constitution of Nepal, Article 296(1)

Date of Certification & Publication: **2074/1/10**

KEY DATES & AMENDMENTS

1) 2074/1/10
Certification & Publication

2) 2075/11/1
First Amendment
(Constitution of Nepal, 2074)

3) 2076/1/12
Second Amendment
(National Code, 2075 related Nepal Acts)

4) 2081/12/18
An Act to Amend Some Nepal Acts Related to Improving the Economic and Business Environment and Promoting Investment, 2081

CORE OBJECTIVES

- **ENHANCE PUBLIC CONFIDENCE**
- **PROTECT DEPOSITOR RIGHTS** — "Rights & Interests"
- **PROVIDE QUALITY SERVICES & HEALTHY COMPETITION**
- **STRENGTHEN NATIONAL ECONOMY** — "Sustainable & Strong"
- **MAINTAIN FINANCIAL STABILITY** — "Financial Stability"



THE ACT COVERS NECESSARY PROVISIONS CONCERNING:

- ESTABLISHMENT
- OPERATION
- MANAGEMENT
- REGULATION
- INSPECTION
- SUPERVISION

Table of Contents — Chapters

14 Total Chapters

134 Total Sections

1	Preliminary
2	Provisions on Incorporation of Bank or Financial Institution
3	Provisions Concerning Transactions of Securities
4	Provisions on Board of Directors and Chief Executive
5	Provisions on License
6	Provisions on Capital, Capital Fund and Liquid Assets
7	Provisions on Operation of Banking and Financial Transactions
8	Provisions on Disbursement and Recovery of Credits
9	Provisions on Accounts, Records, Details and Reporting
10	Provisions on Merger and Acquisition
11	Voluntary Liquidation of Banks or Financial Institutions
12	Provisions on Mandatory Liquidation
13	Provisions on Actions, Offences and Punishment
14	Miscellaneous

Chapter

1

2 Sections

Chapter 1

Preliminary

1 Short Title, Extension and Commencement

2 Definitions

Chapter

2

5 Sections

Chapter 2

Provisions on Incorporation of Bank or Financial Institution

3	Incorporation of Bank or Financial Institution
4	Prior-approval to be obtained to incorporate bank or financial institution
5	Prior Approval to be obtained for Incorporation
6	Approval to be obtained to open Branch Office
7	Prior Approval may be denied

BAFIA:

SECTION 3 & SECTION 4 – INCORPORATION & PRIOR APPROVAL

SECTION 3: INCORPORATION OF BANK OR FI

1 INCORPORATION AS PUBLIC LIMITED COMPANY



Any person must incorporate under prevailing laws.



2 EXEMPTION



Existing banks/FIs in operation at Act commencement are exempt.

3



Registers subject to Section 4.

AUTHORIZED OFFICIAL



1 APPLICATION SUBMISSION TO NRB



FILING → NRB DECISION



WITH CONDITIONS



WITHOUT CONDITIONS

2 REQUIRED ENCLOSURES (DOCUMENTATION LIST)



MoA & AoA



FEASIBILITY STUDY REPORT



PERSONAL DETAILS (NRB form)



PRE-INCORPOKATION AGREEMEMT (certihed)



INCOME & TAX CLEARANCE



BANKRUPTCY/LOAN DETAILS (Nepal/abroad)



SELF-DECLARATION (No criminal/fraud)



REGULATORY ACTIONS ON APPLICANT



FAMILY DETAILS (Name, relationship, substantial corporate owner details, 3 Tax Clearances)



AUTHORITY TO VERIFY BACKGROUND



UNDERTAKING: DEPOSITS INSURED



OTHER SPECIFIED DOCUMENTS

4 NO APPROVAL FOR CERTAIN PERSONS



NRB REGULATORY ACTIONS



CHEATING, FRAUD, FORGERY



ML/TF OFFENCES



CORRUPTION



SERIOUS CRIMES (Traffic, Kidnap, Rape)

No approval to substantial owners/family members who are punished.

SECTION 5:

PRIOR APPROVAL FOR FOREIGN INVESTMENT

1 FOREIGN BANK/FI APPLICATION SUBMISSION



NRB SUBMISSION + FEE

2 REQUIRED DOCUMENTATION LIST



- MOA & AOA + C.O.I. + CAPITAL STRUCTURE
- FOREIGN BANK LICENSE COPY
- PRINCIPAL PLACE OF BUSINESS
- PROPOSED BUSINESS PLAN (NP) + STRATEGIES
- LAST 3 YEARS AUDITED BUSINESS
- DECISION & REGULATORY AUTHORITY TO OPEN BANK IN NEPAL

3 NRB REVIEW & APPROVAL TIMELINE

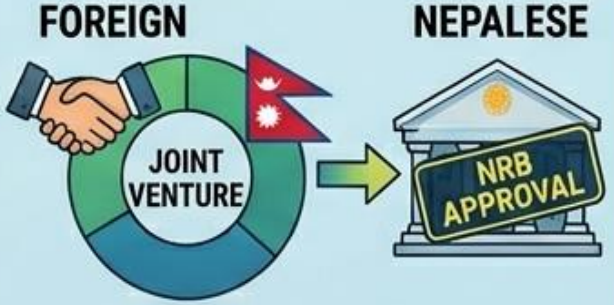


FILING → NRB DECISION



WITH CONDITIONS | WITHOUT CONDITIONS

4 JOINT VENTURE SHARES



YOUR ABILITY TO TAKE SHARES IN NAIC IN A LOCAL BANK/FI

5 EXISTING INVESTMENTS



TIME CAPSULE | PREVIOUS LAWS | ACT CONTINUED

NEPAL RASTRA BANK

SECTION 6:
APPROVAL TO OPENEN BRANCH OFFICE OF BANK OR FINANCIAL INSTITUTION

1 PRIOR APPROVAL REQUIREMENT



Internationally rated institutions, needes an official stamp
NRB APPROVAL REQUIRED
before opening a branch in Nepal

2 APPLICATION SUBMISSION



3 REQUIRED DOCUMENTS



- BOARD COMMITMENT (Liabilities)
- BRANCH OFFICE LOCATION
- PROPOSED OFFICE BEARERS

4 ADDITIONAL INFORMATION



Rastra Bank Inquiry

Extra Documents/Details

5 TIMELINE FOR APPROVAL



Filing

Approval (with/without Conditions)

6 REGISTRATION



REGISTERED UNDER COMPANY LAWS

7 POST-REGISTRATION DOCUMENTS



- REGISTRATION CERTIFICATE
- HOME COUNTRY AUTHORITY APPROVAL
- DISCREPANCY REPORT
- OTHER DOCUMENTS REQUESTED

8 TRANSACTION APPROVAL TIMELINE



BANKING/FINANCIAL TRANSACTIONS APPROVAL

9 TERMS & CONDITIONS



NRB PRESCRIBED CONDITIONS FOR BRANCH OPERATION

10 BRANCH ABROAD



NEPALESE BANK

FOREIGN BRANCHES

POLICIES



SECTION 7: PRIOR APPROVAL MAY BE DENIED



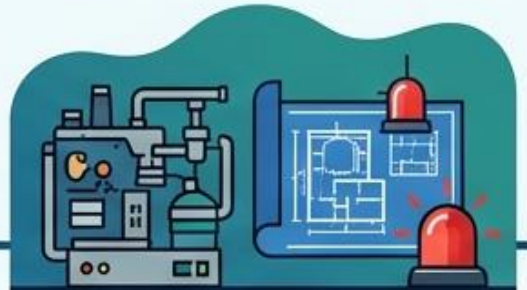
1. NAME & BUSINESS

NOT APPROPRIATE FOR PUBLIC INTEREST, RELIGION, ETHNICITY, OR TRADITIONAL BELIEFS.



2. OBJECTIVE

CONTRARY TO PREVAILING LAWS.



3. TECHNICAL FEASIBILITY

INCORPORATION NOT TECHNICALLY APPROPRIATE.



4. FINANCIAL VIABILITY

FEASIBILITY STUDY OR SUBMITTED INFRASTRUCTURE DOCUMENTS DON'T INDICATE HEALTHY AND COMPETITIVE OPERATIONS.

DENIAL REASONS



5. PROMOTERS' SIGNATURES

NOT ALL PROMOTERS SIGNED MoA & AoA IN PRESENCE OF WITNESSES, OR WITNESS INFO MISSING.



6. SHAREHOLDING LIMITS

PER PERSON INVESTMENT OR OWNERSHIP RATIO NOT AS PER RASTRA BANK LIMITS.



7. POLICY CONSISTENCY

INCONSISTENT WITH RASTRA BANK INCORPORATION OR LICENSING POLICIES.



8. OTHER CONDITIONS

ANY RASTRA BANK-PRESCRIBED CONDITIONS NOT FULFILLED.



NOTIFICATION

IF PRIOR APPROVAL IS DENIED, RASTRA BANK MUST INFORM THE APPLICANT WITH THE REASONS.

Chapter

3

6 Sections

Chapter 3

Provisions Concerning Transactions of Securities

8 Prospectus

9 Allotment of Shares

10 Transactions of Securities

11 Provision on Sale or Pledging of Securities

12 Prohibition on Transaction of Securities

13 Prohibition on purchase by Bank of its' own Shares

NEPAL RASTRA BANK REGULATIONS FOR SHARES

SECTION 8: PROSPECTUS & REGISTRATION

1. Prior Approval → 2. Registration



SECURITIES BOARD



RASTRA BANK

⚠ NO PROSPECTUS PUBLICATION WITHOUT REGISTRATION

⚠ RASTRA BANK REGISTERS AFTER SECURITIES BOARD NOTIFICATION







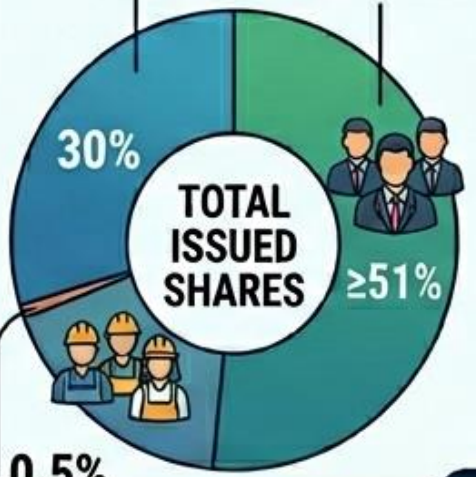


SECTION 9: ALLOTMENT OF SHARES & QUOTAS

GENERAL PUBLIC SUBSCRIPTION



UNSOLD PUBLIC SHARES SOLD TO: Firms, Companies, or Institutions



EMPLOYEES — 0.5%
0.5% - EXCEPT 30% QUOTA

SHARE GROUPS:



PROMOTER SHARE GROUP: AS PRESCRIBED BY RASTRA BANK



ORDINARY SHARE GROUP: ALL OTHER SHARES

SHARE CONVERSION

CONVERTIBLE TO ORDINARY SHARES IF PROMOTER OWNERSHIP REMAIN ≥51%

SPECIAL CASES



PUBLIC SHARE RATIO NOT REQUIRED FOR BANKS WITH SIGNIFICANT OWNERSHIP OF THE GOVERNMENT OF NEPAL (GON)



JOINT VENTURES WITH FOREIGN BANKS MUST FOLLOW ALL NRB GUIDELINES

BAFIA:

SECTION 10 & 11: TRANSACTIONS & PROMOTER SHARES

SECTION 10: TRANSACTIONS OF SECURITIES

1 COMPLIANCE WITH SECURITIES LAWS





COPY OF ANY DEALING AGREEMENT VIA INSTITUTION

2 SUBMIT AGREEMENTS (7 DAYS)



COPY OF ANY DEALING AGREEMENT VIA INSTITUTION

3 PRIOR NRB APPROVAL





DEBENTURES ISSUING ANY INSTRUMENTS

COMPLIANCE WITH CONDITIONS



NRB MAY SPECIFY TERMS AND CONDITIONS; COMPLIANCE REQUIRED

SECTION 11: SALE OR PLEDGING OF PROMOTER SHARES

YEARS 0-5



PROMOTER CANNOT SELL/PLEDGE SHARES

EXCEPTIONS (WITH NRB APPROVAL)

SPECIAL CIRCUMSTANCES



Obstruction in operations



Promoter blocked with other bank



Quorum failure 3 consecutive times



Indecision among Directors

AFTER 5 YEARS



MAY SELL/PLEDGE WITH NRB APPROVAL

<2% SHARES CAN BE SOLD WITHOUT APPROVAL

AFTER 10 YEARS



PROMOTER SHARES MAY BE CONVERTED TO ORDINARY SHARES

WITH NRB APPROVAL

CONSIDERING MARKET/FINANCIAL IMPACT

CORPORATE BODIES & OWNERSHIP ALTERATION



COMPANIES/BODIES HOLDING PROMOTER SHARES MUST GET NRB APPROVAL

<2% SHARES CAN BE TRANSFERRED WITHOUT APPROVAL

BAFIA:

SECTION 12 & 13: PROHIBITIONS ON OWN SHARES

SECTION 12: PROHIBITION ON TRANSACTION OF SECURITIES

1 PROHIBITED PERSONS

DIRECTOR | CEO | AUDITOR | COMPANY SECRETARY | DIRECTLY MANAGING PERSONNEL

WHILE IN OFFICE OR FOR 1 YEAR AFTER RETIREMENT

2 PROHIBITED ACTIONS (BANK SECURITIES)

DONATION | TRANSFER | SELL | BUY | PLEDGE

IN THEIR NAME, FAMILY MEMBERS, OR CONTROLLED FIRMS

3 EXCEPTIONS (WITH RASTRA BANK APPROVAL)

Share trading: Directors to Directors/ Promoters

- Bonus, rights, employee shares
- Implementing Rastra Bank directives
- Selling entire shareholding of Directors or corporate body (complete portfolio handover)
- Mergers/amalgamations
- Reformative or settlement processes

4 VIOLATION

SECURITIES MUST BE FORFEITED AND SOLD AS PRESCRIBED

SECTION 13: PROHIBITION ON PURCHASE BY OWN SHARES

GENERAL PROHIBITION

BANKS/FIS CANNOT BUY BACK OWN SHARES OR LEND AGAINST THEIR SHARES

EXCEPTIONS (WITH RASTRA BANK APPROVAL & CONDITIONS)

- Fully paid-up shares
- Listed shares
- AoA authorizes buy-back
- Special resolution passed
- Debt ≤ 2× capital & reserves
- Buy-back ≤ 20% of paid up capital & reserves
- Compliance with directives

3 APPLICATION TO RASTRA BANK (ENCLOSURES)

- Reason, necessity, duration, modus operandi
- Financial impact assessment
- Buy-back ≤ 20% of paid-up capital & reserves
- Compliance with directives
- Financial impact assessment
- Type, par value, number of shares
- Source and max/min amount
- Other specified matters

4 APPROVAL & EXECUTION FLOW

Rastra Bank May Approve → Buy-Back Timeline Dhaelims (WITHIN 6 MONTHS OF APPROVAL | 120 DAYS OF SPECIAL RESOLUTION) → Execution Modes: SECURITIES MARKET OR PROPORTIONAL PURCHASE

File Return (30 Days) → Capital Redemption Reserve Fund → Shares Cancelled (120 Days) → Other Provisions

Chapter

4

17 Sections

Chapter 4

Provisions on Board of Directors and Chief Executive

14 Formation of Board of Directors

15 Term of Office of the Director

16 Qualifications of Director

17 Qualifications of Independent Director

18 Disqualification of Directors

19 Circumstances for ineligibility to remain in office of Director

20 As to an incumbent Constitutional Position Holder

21 Meetings of Board of Directors

22 Functions, Duties and Powers of Board of Directors

23 Accountability and Responsibility of Director

24 Details of Directors to be collected

25 Information of Director and Record

26 Sub-Committees may be formed

27 Delegation of Power

28 Allowances and Facilities of the Director

29 Appointment of Chief Executive and Terms and Conditions of Service

30 Functions, Duties and Powers of the Chief Executive

BAFIA:

SECTION 14: BOARD OF DIRECTORS

COMPOSITION

BoD

MINIMUM 5 TO MAXIMUM 7 Directors

FAMILY RESTRICTION



MAXIMUM 1

Maximum 1 family member as Director at the same time

APPOINTMENT PROCESS

1 GENERAL MEETING APPOINTS



1st AGM

AGM appoints per AoA & Act

Until 1st AGM: Promoters appoint Directors

3 VACANCY BEFORE AGM



PROMOTERS → 1st AGM

Board may appoint until next General Meeting

INFRASTRUCTURE DEVELOPMENT BANK exception

c Part c exception

KEY POSITIONS

CHAIRPERSON



Chosen by Directors from among themselves by majority vote

ALTERNATE DIRECTOR



May appoint Alternate Director proportional to shares for absence coverage

PROFESSIONAL DIRECTOR

4 CORPORATE SHAREHOLDER APPOINTMENT



CORPORATE SHAREHOLDER BANK

Can appoint Director proportional to shares

Same person cannot serve on multiple banks/FIs

PROFESSIONAL DIRECTOR

QUALIFICATIONS/ EXPERIENCE | SECTION 17

AT LEAST 1 PROFESSIONAL DIRECTOR



GUIDELINES FOR BANK DIRECTORS: TERM OF OFFICE & QUALIFICATIONS

SECTION 15: TERM OF OFFICE OF DIRECTORS

1 DIRECTOR TERM

MAXIMUM 4 YEARS

- May be reappointed / re-nominated

INDEPENDENT DIRECTOR — **ONLY SINGLE TERM**

2 EXECUTIVE CHAIRPERSON / MD

MAXIMUM 2 CONSECUTIVE TERMS ONLY

after commencement of this Act

SECTION 16: QUALIFICATIONS OF DIRECTOR

1 Must have one of the following:

(a) **5 YEARS EXPERIENCE** as Director / Office Bearer of a Bank/FI, Related Corporate Sector, or Officer level of Government of Nepal

(b) **BACHELOR'S DEGREE + 3 YEARS EXPERIENCE** as above

(c) **MASTER'S DEGREE** in related subject (as prescribed)

2 CLASS 'D' FINANCIAL INSTITUTION DIRECTORS

- Qualifications & experience as prescribed by Rastra Bank
- Independent Director qualification as per Section 17

SECTION 17: QUALIFICATIONS OF INDEPENDENT DIRECTOR

CLASS 'A' / NATIONAL CLASS 'B' DEVELOPMENT BANK

MASTER'S DEGREE (as per Rastra Bank) + REQUIRED EXPERIENCE

CLASS 'B' DEVELOPMENT BANK / CLASS 'C' FIs (except National Class B)

BACHELOR'S DEGREE + REQUIRED EXPERIENCE

CLASS 'D' MICROFINANCE INSTITUTIONS

QUALIFICATIONS & EXPERIENCE as prescribed by Rastra Bank

DISQUALIFICATIONS OF DIRECTORS

(SECTION 18)

1. UNDER 25 YEARS OLD
2. INSANE OR OF UNSOUND MIND
3. BANKRUPT IN NEPAL OR ABROAD
4. BLOCKED/DEFAULTED TRANSACTIONS WITH ANY BANK/FI (less than 3 years)
5. INCUMBENT DIRECTOR/ EMPLOYEE OF CORPORATE BODY with banking or insurance transactions
6. BORROWER, AUDITOR, ADVISOR, OR PARTNER WITH PERSONAL INTEREST in the bank/FI
7. STOCK EXCHANGE MEMBERSHIP (broker or merchant banker)





EXCEPTION

Employees of a bank/FI may be Directors of its subsidiary



8. CURRENT DIRECTOR OF THE BANK/FI
9. NOT SUBSCRIBED MINIMUM SHARES as AoA
10. EMPLOYEE OF GOVERNMENT, Government-owned institution, Rastra Bank, or Bank/FI
11. UNPAID TAXES
12. LESS THAN 10 YEARS AFTER PUNISHMENT for theft, fraud, corruption, moral turpitude, or banking offence — 10 year
13. LESS THAN 5 YEARS SINCE REGULATORY ACTION for law violation — 5 years
14. INDEPENDENT DIRECTOR WITH >0.1% OWNERSHIP by promoter/shareholder
15. PENDING IMPRISONMENT or fines, or defaulted government dues

CIRCUMSTANCES FOR INELIGIBILITY TO REMAIN IN OFFICE OF DIRECTOR (SECTION 19)

- **LACKS QUALIFICATIONS** (SEC 16 & 17), OR **DISQUALIFIED** (SEC 18)





Master's degree

Educational requirements, e.g. ET&C.



Ethical standards

- **REMOVAL MOTION PASSED** in General Meeting



Majority recommended by appointing group

Group = Promoters + General public shareholders (representing ≥51% of group shares)

- **RESIGNATION TENDERED AND APPROVED**



- **ACTS CONTRARY** to this Act or Rastra Bank Directives





- **RASTRA BANK DIRECTS REMOVAL**



Due to acts against rights/interests of bank, depositors, or incompetence



Depositors



Incompetent

REPORTING & ENFORCEMENT







RASTRA BANK MAY ISSUE APPROPRIATE DIRECTIONS AFTER ENQUIRY

BANK GOVERNANCE REGULATION INFOGRAPHIC

SECTION 20: INCUMBENT CONSTITUTIONAL POSITION HOLDER

PROHIBITION WHILE IN OFFICE





DIRECTOR

STOP



CHIEF EXECUTIVE

NO PERSON holding a constitutional position may serve as a **DIRECTOR** or **CHIEF EXECUTIVE** of **ANY BANK** or **FINANCIAL INSTITUTION** while in office.

SECTION 21: MEETINGS OF BOARD OF DIRECTORS

FREQUENCY



≥ 12 MEETINGS PER YEAR

MAX **60** DAYS BETWEEN MEETINGS

CALLING A MEETING







CHAIRPERSON CONVENES

≥ 1/3 OF DIRECTORS REQUEST in writing with agenda

PRESIDING





CHAIRPERSON PRESIDES

IN ABSENCE: **DIRECTOR** chosen by majority presides

QUORUM





MINIMUM **51%** OF DIRECTORS must attend

DECISION MAKING



MAJORITY DECISIONS BINDING



TIE-BREAKING VOTE by Chairperson



MINUTES

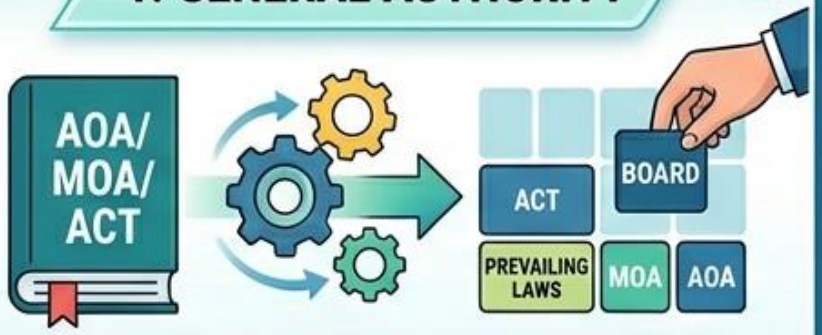


DIRECTORS MAY NOTE DISSENTING OPINIONS WITH SIGNATURE

BANK GOVERNANCE REGULATION INFOGRAPHIC (CONTINUED)

SECTION 22: FUNCTIONS, DUTIES & POWERS OF BOARD OF DIRECTORS

1. GENERAL AUTHORITY



ALL FUNCTIONS, DUTIES, & POWERS ARE VESTED
(EXCEPT RESERVED FOR GENERAL MEETING)

2. PRIMARY DUTY

(a) OPERATE IN INTERESTS OF



(a) MAINTAIN CORPORATE GOVERNANCE

DAILY OPERATIONS



NO INTERVENTION



(b) OVERSEE & GOVERNANCE
MAINTAIN CORPORATE GOVERNANCE

3. OTHER FUNCTIONS & POWERS

(a) FRAME BYELAWS



FRAME BYELAWS, DIRECTIVES, & PROCEDURES

(b) INTERNAL CONTROL & RISK



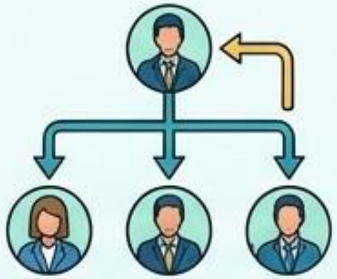
ESTABLISH CONTROL & RISK MANAGEMENT NORMS

(c) POLICY MANAGEMENT



DEVELOP POLICY FOR ORDERLY OPERATIONS

(d) ORGANISATIONAL STRUCTURE



CREATE CLEAR ORGANISATIONAL STRUCTURE & IMPLEMENT

(e) SUBMIT REPORTS



SUBMIT AUDIT & ANNUAL PROGRESS REPORTS

(f) OTHER FUNCTIONS



PERFORM OTHER FUNCTIONS

BANK GOVERNANCE REGULATION INFOGRAPHIC (CONTINUED)

SECTIONS 23 & 24: ACCOUNTABILITY, RESPONSIBILITY & DIRECTOR DETAILS

SECTION 23: ACCOUNTABILITY & RESPONSIBILITY OF DIRECTORS

1. NO PERSONAL GAIN



MUST NOT use bank/FI business for personal benefit.

2. PERSONAL LIABILITY



LIABLE for acts exceeding authority as Director.

3. RISK MANAGEMENT & INTERNAL CONTROL



MUST ENSURE compliance with sound business strategies.



SHOULD NOT interfere in daily operations.

4. NON-INTERVENTION IN DAILY MANAGEMENT





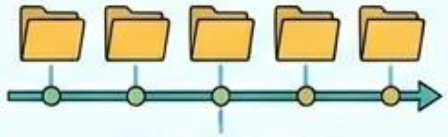
FULLY ADHERE to instructions issued by Rastra Bank.

SECTION 24: DETAILS OF DIRECTORS TO BE COLLECTED

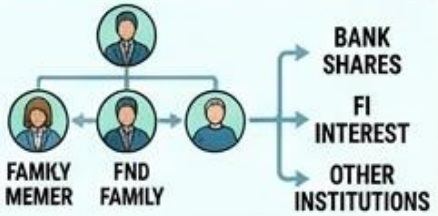
PERSONAL INFO



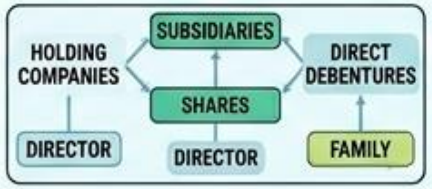
PAST POSITIONS



FAMILY & FINANCIAL INTERESTS



FAMILY SHARES/DEBENTURES



FAMILY EMPLOYEES



FAMILY AGREEMENTS



APPOINTMENT INTERESTS



WRITTEN AUTHORITY FOR INQUIRY



SELF-DECLARATION OF ELIGIBILITY



OTHER DETAILS



BANKS/FIs MUST COLLECT & MAINTAIN: [List of letters (a) to (j)]

KEY SECTIONS: CORPORATE GOVERNANCE REGULATIONS

SECTION 25: INFORMATION OF DIRECTOR & RECORD



SUBMISSION OF DETAILS
Director must submit details (Sec 24) to Bank/FI within 7 days of appointment



RECORD MAINTENANCE
Bank/FI must maintain separate records of submitted details



OWNERSHIP / INTERESTS
Declare substantial ownership/interests of Director/ family at first Board meeting



CONFLICT OF INTEREST
Declare interest in Board/ sub-committee discussions; No participation in discussions/votes



UPDATES
Any changes must be submitted to Rastra Bank within 15 days.

Rastra Bank Oversight:
May inquire into any information



SECTION 26: FORMATION OF SUB-COMMITTEES



Board forms one or more for specific purposes



FOLLOWS RASTRA BANK DIRECTIVES



CHAIRPERSON CANNOT BE A MEMBER
Chairperson separate



Functions, duties, powers, procedures, & member remuneration
PRESCRIBED BY BOARD



Activities & expenditures included in
ANNUAL REPORT

SECTION 27: DELEGATION OF POWERS



BOARD MAY DELEGATE POWERS TO:



Any Director | Sub-committee (Sec. 26) | Chief Executive or acting Chief Executive

EXERCISED UNDER BOARD SUPERVISION/DIRECTION

Board looking on with BROo



SECTION 28: ALLOWANCES & FACILITIES





MEETING ALLOWANCES

FACILITIES



As specified in the **ARTICLES OF ASSOCIATION**



PROMOTING TRANSPARENCY AND RESPONSIBILITY

SECTION 29: CHIEF EXECUTIVE (CE) APPOINTMENT & TERMS

① APPOINTMENT



Board appoints 1 CE.



Board appoints & Doorentment.

Subject to Act, Memorandum & Articles of Association.

② TENURE



Max 4 years, reappointment



Special institution:

Class 'D' institution: Rastra Bank qualifications.

③ REMOVAL



Can be removed for performance.



Must have reasonable opportunity for clarification.

④ QUALIFICATIONS & EXPERIENCE



MASTER'S in Finance, Management, Law, etc.



10+ YEARS in Banking, Government, etc.

Compliance with Rastra Bank criteria and Section 18(1).

⑤ NOTIFICATION







Info to Rastra Bank within 7 days.

⑥ NON-ELIGIBILITY



Cannot hold position in other business organizations.



IDB

Allowed Director of Infrastructure Development Bank (if invested).

⑦ REMUNERATION & FACILITIES



DETERMINED BY BOARD



At time of appointment.

⑧ RASTRA BANK OVERSIGHT





Found unqualified → Order removal & replacement.

GUIDELINES FOR CHIEF EXECUTIVE OFFICERS

SECTION 30: FUNCTIONS, DUTIES AND POWERS OF THE CHIEF EXECUTIVE

Key responsibilities and authority within a Bank or Financial Institution.



1) IMPLEMENTATION & CONTROL

- Implement decisions of the Board of Directors
- Exercise delegated powers
- Oversee and control bank activities (per MoA/AoA)



2) BUDGET & PLANNING

- Prepare annual budget
- Formulate action plan
- Submit to Board for approval



3) HUMAN RESOURCE MANAGEMENT

- Manage necessary human resources
- Adhere to Personnel Byelaws



4) GENERAL MEETING DECISIONS

- Implement decisions of the General Meeting



5) LEGAL & REGULATORY COMPLIANCE

- Operate institution according to Act
- Follow Rastra Bank directives
- Establish effective internal control & risk management



6) TIMELY REPORTING

- Submit statements, documents, and decisions
- To Rastra Bank and other agencies
- On time and in compliance



7) OPTIMUM PROTECTION

- Protect interests of depositors, shareholders, and the institution



8) SENIOR MANAGEMENT NORMS

- Apply appropriate norms for senior management
- Subject to Board policy



2) ACCOUNTABILITY TO THE BOARD OF DIRECTORS

- The Chief Executive shall be accountable for their work to the Board of Directors.

*Subject to Memorandum of Association, Articles of Association, and Applicable Laws.

Chapter

5

10 Sections

Chapter 5

Provisions on License

31 Prohibition on carrying on Financial Transactions by anyone other than Bank

32 Use of Name of Bank or Financial Institution

33 Application to be filed to obtain License

34 License may be granted for Banking and Financial Transactions

35 Issuance of License may be denied

36 Rastra Bank may Specify Conditions

37 Classification of Bank or Financial Institution

38 May be Converted into Higher Class

39 List to be Published

40 Special Provision on Branch of Foreign Bank

PROHIBITION ON FINANCIAL TRANSACTIONS & BANKING NAMES
(Sections 31 & 32)

SECTION 31: FINANCIAL TRANSACTION PROHIBITION

1 ONLY LICENSED INSTITUTIONS:
Licensed banks & financial institutions (per Section 34) may carry out transactions.



2 RASTRA BANK'S ROLE:
Rastra Bank formulates & executes licensing policy.





SECTION 32: USE OF BANK/FI NAMES



1 RESTRICTIONS:
Rastra Bank approval needed for using names and terms like **BANK, BANKING, FINANCE, FINANCIAL.**



2 EXEMPTIONS:
(No Approval Needed)



- Licensed Banks/FIs & Foreign Branches
- Organisations by Law or International Agreements
- Applying Companies (within 6 months)
- Existing Banks/FIs (Approved prior)

3 CLASS-SPECIFIC NAMING:

CLASS 'B' → Development Bank



CLASS 'C' → Finance Company



CLASS 'D' → Microfinance Financial Institution



Note: Pre-existing Microfinance Dev. Banks must ADOPT new convention

SECTION 33: APPLICATION FOR LICENSE TO CARRY ON BANKING & FINANCIAL TRANSACTIONS

1 APPLICATION SUBMISSION



Bank/FI must apply to Rastra Bank with prescribed fee to obtain license.

2 REQUIRED DOCUMENTS

- MOA & AOA with certificate of incorporation.
- Office details (owned or leased) with infrastructure.
- Share subscription confirmation deposited.
- Employee & Financial Byelaws, including loan write-off procedures.
- Principal business place & branch addresses (if known).
- Consent to follow Rastra Bank terms & conditions.
- Business plan: strategy, organizational structure, internal controls, risk management.
- Directors & officials list with qualifications.
- Commitment to maintain minimum capital adequacy ratio.
- Commitment to maintain internal control system.
- Other documents specified by Rastra Bank.

3 ADDITIONAL DOCUMENTS FOR FOREIGN BANKS/FIS (JOINT VENTURES)

- Government/central bank consent from home country.
- Details of unfulfilled regulatory requirements under this Act.
- Other documents specified by Rastra Bank.



4 RASTRA BANK ENQUIRY

Rastra Bank may request additional documents or details if submitted info is insufficient.



BANKING & FINANCIAL INSTITUTIONS: LICENSE TO OPERATE (Sections 34 & 35)

SECTION 34: LICENSE TO CARRY ON BANKING & FINANCIAL TRANSACTIONS



APPLICANT FILES APPLICATION



RASTRA BANK VERIFIES
(Up to 120 Days)

- Healthy competition & depositor protection
- Capability to conduct banking/FI operations (per Act, Rules, MOA, etc.)
- Adequacy of documents & physical infrastructure
- Competency of appointed officials



LICENSE GRANTED
(Class-based, per Section 37)

ACTIVATION OF LICENSE

From specified enforcement date

OR

From date of issuance (if no date specified)

SECTION 35: DENIAL OF LICENSE



RASTRA BANK MAY DENY IF:

- Adverse impact on financial stability, fair competition, credibility
- Not reasonable for depositor protection
- Infrastructure is incomplete
- Other Act requirements are unmet



INFORM APPLICANT OF DENIAL

(Within 90 Days of Filing, with Reasons)

BANK AND FINANCIAL INSTITUTIONS ACT

SECTIONS 36, 37 & 38 – AT A GLANCE

36. RASTRA BANK MAY SPECIFY CONDITIONS

1. Rastra Bank may, while granting a license (for carrying on banking and financial transactions pursuant to **Section 34**), specify necessary terms and conditions by giving consideration to:
   - Existing position of the bank or financial institution
   - Healthy operation of financial transactions
   - Interests of depositors

   It shall be the duty of the concerned bank or financial institution **to abide by such terms and conditions.**

2. Rastra Bank may bring necessary alterations and changes from time to time as per requirement in the terms and conditions as specified pursuant to sub-section (1).

37. CLASSIFICATION OF BANK OR FINANCIAL INSTITUTION

Rastra Bank shall classify banks or financial institutions in classes **"A", "B", "C" and "D"** based on:

- **Minimum paid-up capital**
- **Transactions to be operated**
- **Working areas**

Rastra Bank shall issue license to concerned banks or financial institutions accordingly.

PROVIDED THAT

An infrastructure development bank shall not be classified in any class.

38. MAY BE CONVERTED INTO HIGHER CLASS OF BANK OR FINANCIAL INSTITUTION

1. If a lower class bank or FI desires to be converted into a bank or FI of one level higher class, it has to submit an application to **Rastra Bank.**

   ! **Provided that class "D" institutions may not be converted into the higher class.**

2. Rastra Bank may grant prior approval after inquiry into the application and details enclosed therewith subject to the following terms and conditions:
   - a. If it has met the paid-up capital requirement for a higher class as prescribed by Rastra Bank
   - b. If it has continuously maintained the capital fund adequacy (as per RB directives) for last 5 years, been in profit continuously for last 5 years, and average NPL of last 5 years is within limits prescribed by Rastra Bank
   - c. If preliminary expenses have already been written off
   - d. If the shares to be issued publicly have been issued and already been allotted
   - e. If the General Meeting has already passed the special resolution for conversion into the upper class
   - f. If it has met all conditions as prescribed by Rastra Bank

3. Rastra Bank shall issue the license of upper-class bank or FI pursuant to this Act, causing amendment to be made to the Memorandum of Association and Articles of Association of the bank or FI according to prevailing law having obtained prior approval pursuant to sub-section (2).

KEY TAKEAWAY

Rastra Bank ensures responsible licensing, classification and orderly growth of banks and financial institutions by setting conditions, defining classes and enabling conversion to higher classes under strict criteria.

SECTIONS 39 TO 40 – SUMMARY AT A GLANCE

SECTION	KEY PROVISIONS (SUMMARY)	TIMELINES / DEADLINES	KEY POINTS
Sec. 39 **List to be Published**	• Rastra Bank shall publish a list of banks and financial institutions carrying on banking and financial transactions. • The list shall include key financial information and **other details** as deemed necessary. **Information to be Included (indicative):** Date of commencement of transaction Capital fund position Status of non-performing loans (NPL) Paid-up capital Total loans Other details as deemed necessary	**Every month** Publication in a national-level newspaper or through any other means.	• Ensures transparency and public disclosure. • Information to be published includes key financial indicators. • Promotes informed decision-**making by stakeholders.**
Sec. 39A **Operation of Financial Institutions in the Province**	1. Nepal Rastra Bank may allow operation of financial institutions at the province level within prescribed limits, conditions or instructions. 2. Such institutions shall obtain a license from Nepal Rastra Bank in accordance with provincial law. 3. Regulation, supervision and oversight shall be carried out by Nepal Rastra Bank. 4. Other arrangements at the state level shall be as per this Act and applicable state laws.	**License to be obtained** As per prescribed procedure and provincial law.	• Enables province-level financial institutions. • Licensed by Nepal Rastra Bank. • Full regulation and supervision remains with Nepal Rastra **Bank.** • Subject to this Act and state laws.
Sec. 40 **Special Provision on Branch of Foreign Bank**	1. A **branch** of a licensed, internationally classified **foreign bank** in Nepal shall be deemed equivalent to a bank/financial institution **under this Act.** 2. Rastra Bank may issue directives on the responsibility of officials/employees regarding functions, duties, liabilities, assets, accounts, etc. 3. While using assets to meet liabilities, priority shall be given to liabilities towards Nepal. 4. Notwithstanding other provisions, such a branch may carry on wholesale banking transactions. 5. Functions and activities of the branch office shall be as prescribed by Rastra Bank.	**License granted by Rastra Bank** Operates as per prevailing law. **Directives may be issued as required** By Rastra Bank.	• Equal treatment as domestic banks unless otherwise provided. • Rastra Bank can issue necessary directives. • Nepal liability gets priority over other **jurisdictions.** • Allowed to conduct wholesale **banking.** • Operations as per directives of Rastra Bank.

Overall Objective | Ensure transparency, enable province-level operations, and provide a clear regulatory framework for branches of foreign banks in Nepal.

Chapter

6

8 Sections

Chapter 6

Provisions on Capital, Capital Fund and Liquid Assets

41 Capital to be Maintained

42 Capital Fund

43 Provisions on Possible Loss

44 General Reserve Fund

45 Exchange Equalization Fund

46 Liquid Assets to be maintained

47 Declaration and Distribution of Dividends

48 Order may be issued to decrease Capital

BANKING REGULATION FRAMEWORK

SECTION 41: MINIMUM PAID-UP CAPITAL

- **BANKS MUST MAINTAIN** Rastra Bank prescribed minimum
- **INVESTMENT LIMITS:** 15% max per investor
  - 15% max per investor
  - Cross-investment <1%
- Special provisions for Foreign JVs, Class "D", and Infrastructure banks

SECTION 42: CAPITAL FUND

- **MAINTAIN RATIO** based on Assets & Risk-Weighted Assets
- **SHORTFALL REPORTING:** Within 1 month with reasons and restoration plan
- RAstra Bank directives possible

SECTION 43: LOAN LOSS PROVISIONS

- **CREATE PROVISIONS** for potential asset risks
- **COVERS** loans, off-balance-sheet liabilities
- **PROTECTS** against losses

SECTION 44: GENERAL RESERVE FUND

- **ACCUMULATE 20% OF NET PROFIT** until paid-up capital doubles
  - 10% thereafter
- **RESTRICTED:** Cannot be used or transferred without Rastra Bank approval

SECTION 45: EXCHANGE EQUALISATION FUND

- **APPLICABLE TO FOREIGN EXCHANGE** dealings
- **ANNUAL ADJUSTMENT** of revaluation profits
- **MIN 25%** of non-INR profits to fund
- **USAGE:** Restricted to currency devaluation losses

SECTION 47: DIVIDEND REGULATIONS

- **APPROVAL REQUIRED** from Rastra Bank
- **CONDITIONS TO DISTRIBUTE:**
  - Recover preliminary expenses/losses
  - Capital & Capital Fund intact
  - Loan loss & General Reserve funds met
  - Public shares fully sold

SECTION 46: LIQUID ASSETS

- **MAINTAIN LIQUID ASSETS** as prescribed by Rastra Bank
- **ENSURES** short-term stability

SECTION 48: DECREASE OF CAPITAL

- Rastra Bank **MAY ORDER** decrease of issued/paid-up capital
- **SUPERSEDES OTHER LAWS**

Chapter

7

6 Sections

Chapter 7

Provisions on Operation of Banking and Financial Transactions

49 Bank or Financial Institution may carry on Banking and Financial Transactions

50 Acts not to be carried out by Bank or Financial Institution

51 Provisions concerning Subsidiary Company

52 Prohibition on carrying out transactions with relevant persons

53 Information of Suspicious Transaction to be furnished

54 Rastra Bank may issue Directive

SECTION 49: BANK OR FINANCIAL INSTITUTION MAY CARRY ON BANKING & FINANCIAL TRANSACTIONS

MEMORY TRICK: "A for ALL, B for BUSINESS add-ons, C for CREDIT focus, D for DEVELOPMENT (Micro)," Infrastructure Bank for INFRASTRUCTURE"

CLASS "A" BANK (Full Powres) Can do ALL (Most Extensive)

COMMON POWERS (Also available to)

- (a) Accept deposits (All)
- (b) Electronic banking (All)
- (c) Lend loans (incl. OD, HP, Leasing, Housing) (All)
- (f) Mortgage/ remortgage loans (A,C)
- (h) Borrow/lend from Rastra Bank & other FIs (All)
- (i) Loans from Govt/ agencies for projects (All)
- (j) Write off credits (All)
- (k) Issue shares/ debentures etc. (All) (All)
- (n) Foreign exchange business (All)
- (p) Buy/Sell T-bills, NRB bonds (All)
- (r) Custody & sale/ purchase of securities, collect interest/ dividend, safe deposit (All) (All)
- (s) Off-balance sheet transactions (A,B)
- (t) Credit to deprived/ low income/ disaster victims (All)
- (u) Info exchange on debtors (All)
- (x) Manage/sell assets (All)

ADDITIONAL / UNIQUE POWERS (Not avaliable to all)

1. Accept deposit instruments & pay with/without interest (Not B,C,D)
2. Lending on guarantee of foreign bank/FI (Not B,C,D)
3. Issue guarantees & bonds; take collateral of own or third parties (More extensive than others)
4. Consortium lending with project collateral (pari passu) (B&C limited)
5. Letters of credit transactions (B limited, C limited, D No)
6. Govt. transactions (Not B,C,D)
7. Remittance abroad & receive remittance (B limited to within Nepal, C limited)
8. Buy/sell gold & silver bullion (Not B,C,D)
9. Provide guarantees for third party payments/values (Not B,C,D)
10. Conduct research, survey, consultancy, training (All do, but A widest scope)
11. Agency for digital cards/electronic transactions (B No, C No, D No)
13. Other functions as prescribed (All do, A widest)

CLASS "B" FINANCIAL INSTITUTION Can do COMMON + Additional

COMMON POWERS (Also available to)

- (a), (b), (c), (f), (h), (i), (j), (k), (n), (p), (r), (s), (t), (u), (x)

ADDITIONAL POWERS (Not in C,D)

1. Consortium lending with project collateral (pari passu)
2. Issue guarantees & take collateral (own or third party assets)
3. Bills of exchange, promissory notes, cheques, drafts, traveller's cheques
4. Accept loan on mortgage of own assets
2. Letters of credit & remittance (with NRB approval)
6. Custody & sale/ purchase of securities, collect interest/ dividend, safe deposit
7. Fund transfer within Nepal
8. Research, survey, training, consultancy (banking, accounts, property, loan evaluation)
9. Other functions as prescribed

CLASS "C" FINANCIAL INSTITUTION Can do COMMON + Additional

COMMON POWERS (Also available to)

- (a), (b), (f), (h), (j), (k), (p), (r), (t), (u), (x)

ADDITIONAL POWERS (Limited Scope)

1. Hire-purchase, leasing, housing loans
2. Consortium financing (pari passu)
3. Accept loan on mortgage of own assets
4. Manage, sell, rent or lease out assets
5. Bills of exchange, promissory notes, cheques, drafts, traveller's cheques
6. Foreign currency transactions (with NRB approval)
7. Instalment/hire-purchase loan for vehicles, machinery, tools, equipment, durables
8. Leasing finance for vehicles, machines, tools, durables
9. Guarantee & take collateral (own/third party)
10. Other functions as prescribed

CLASS "D" FINANCIAL INSTITUTION (Microfinance Focus) Can do COMMON + Additional

COMMON POWERS (Also available to)

- (a), (b), (f), (h), (j), (k), (p), (r), (t), (u), (x)

ADDITIONAL / SPECIAL POWERS (Microfinance Focus)

1. Disburse micro-credit to eligible groups/ members (with/without collateral)
2. Accept loans/grants (domestic/foreign) for microfinance (NRB approval for foreign grants)
3. Evaluate microfinance schemes (feasibility)
4. Provide services & consultation for microfinance groups
5. Recovery of micro-credits
6. Accept deposits (within limit & NRB approval)
7. Issue shares/debentures for capital
8. Exchange info on debtors/customers
9. Other functions as prescribed

INFRASTRUCTURE DEVELOPMENT BANK (Infrastructure Focus) Specialized in Infra Financing

COMMON POWERS (Not applicable – (pecialized bank)

SPECIALIZED POWERS (Infrastructure Focus)

1. Provide loans & equity financing in infra projects
2. Finance in securities of infra companies
3. Open L/C & issue guarantees for machinery, equipment & tools for infra projects
4. Issue financial instruments (domestic/ foreign currency) to raise funds for infra projects; acquire loans
5. Mobilize resources via long-term deposits or debentures
6. Leasing transactions (with NRB approval)
7. Loans & facilities against guarantees of foreign banks/FIs
8. Other acts as prescribed

EASY MEMORY

A = ALL in one
A can do everything including Govt. work, foreign remittance, gold-silver, full range of guarantees, letters of credit etc.

B = BUSINESS add-ons
B adds business tools – guarantees, bills, L/C, remittance, securities custody but within limits.

C = CREDIT focus
C focuses on credit products – HP, leasing, housing, instalment loans with limited scope.

D = DEVELOPMENT (Micro)
D is for Development of micro-entrepreneurs through micro-credit & group-based financing.

INFRA = INFRASTRUCTURE
Infra Bank finances infrastructure projects through loans, equity, guarantees & long-term resources.

KEY POINT: Scope of transactions reduces from A → B → C → D, while specialized focus increases. Common powers are the base; additional powers are class-specific.

SECTION 50: PROHIBITED ACTS BY BANKS OR FINANCIAL INSTITUTIONS

PROHIBITED ACTIVITIES

1 BUSINESS RESTRICTIONS



Cannot buy/sell goods for business or purchase land/buildings except for own operational needs.

2 SELF-LENDING



Cannot give credit against its own shares.

3 CONFLICT OF INTEREST



Cannot provide credit to Directors, Chief Executive, major shareholders (≥1%), their family, or related firms/companies.

4 CUSTOMER LIMIT BREACH



Cannot exceed per-customer lending limits set by Rastra Bank.

5 PROMOTER/CEO GUARANTEES



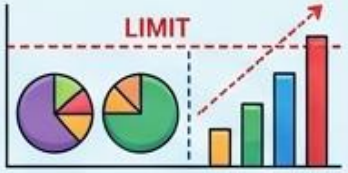
Cannot provide credit based on guarantees from promoters, Directors, or Chief Executive.

6 INTER-BANK INVESTMENTS



Cannot invest in shares of A, B, or C class banks/financial institutions beyond limits prescribed.

7 OTHER INVESTMENTS



Cannot exceed prescribed investment limits in other institutions.

8 ANTI-COMPETITIVE PRACTICES



Cannot create monopolies or artificial hurdles in the financial sector.

9 OTHER RESTRICTED FUNCTIONS



Any functions specified by Rastra Bank as prohibited.

EXCEPTIONS

CAN CONDUCT OWN BANKING



Can conduct its own banking/financial activities.

HOUSING & FACILITIES FOR EMPLOYEES



Can provide housing or facilities to employees per internal byelaws.

SECURE CREDIT FOR KEY PERSONS



Can provide credit secured by government or Rastra Bank bonds, deposits, or FDRs for promoters, Directors, or major shareholders within prescribed limits.

NEPAL RASTRA BANK REGULATIONS

BANKING AND FINANCIAL INSTITUTIONS ACT: SECTIONS OVERVIEW

1 SECTION 51: SUBSIDIARY COMPANY



- Banks may incorporate a subsidiary company with Rastra Bank approval.
- Rastra Bank can impose terms and conditions for approval.

2 SECTION 52: TRANSACTIONS WITH RELATED PARTIES



- **PROHIBITION:** No loans or financial facilities can be given to relevant/related persons.

e.g.,
- Promoters,
- Directors,
- Major Shareholders

3 SECTION 53: SUSPICIOUS TRANSACTION REPORTING



- Banks must report suspicious transactions of customers or account holders.
- According to prevailing anti-money laundering and terrorist financing laws.

4 SECTION 54: RASTRA BANK DIRECTIVES



- Rastra Bank may issue directives on procedures and requirements.
- For banks/financial institutions under this chapter.

Chapter

8

3 Sections

Chapter 8

Provisions on Disbursement and Recovery of Credits

55 Provisions on Disbursement of Credit

56 Monitoring as to Utilization of Credit Amount

57 Provisions on Recovery of Credit

CHAPTER 8
PROVISIONS ON DISBURSEMENT AND RECOVERY OF CREDITS

SECTION 55: DISBURSEMENT OF CREDIT

Purpose disclosure
Credit can be disbursed only after declaring its purpose.

Collateral & guarantees
Banks must obtain acceptable collateral or guarantees.

Property registration
Collateral properties must be withheld from registration/transfer in the borrower's name.

Priority lending
Rastra Bank may direct credit to low-income groups or specific regions.

Terms
Repayment, interest, and conditions must be in the credit deed.

Borrower info
Collect identity and ownership details of borrower, guarantor, firm directors, partners, and family members.

Transparency
Borrowers can request details of principal, interest, and fees.

SUMMARY FLOW

1. **Disburse** with due diligence
2. **Monitor** utilization
3. **Recover** as per law

CORE PRINCIPLE:
Responsible lending, proper monitoring, and effective recovery to protect bank and depositor interests.

SECTION 56: MONITORING CREDIT USE

Banks must regularly monitor whether borrowers use credit for the declared purpose.

A monitoring schedule should be prepared to track utilization.

SECTION 57: CREDIT RECOVERY

1. **Default recovery:** Banks can auction mortgaged assets if borrower fails to repay or misuses credit.
2. **Additional collateral:** Borrower must provide more assets if collateral value decreases.
3. **Ownership registration:** Banks must register auctioned assets in the buyer's name.
4. **No suspension:** Credit write-off does not suspend recovery actions.
5. **Reporting default:** Borrowers failing repayment must be reported to the Credit Information Bureau (CIB) for blocklisting.
6. **International recovery:** Banks may freeze foreign assets if domestic recovery fails.
7. **Passport/Service restriction:** Rastra Bank may request government action to restrict services/passports for unrecovered loans.
8. **Legal protection:** Recovery actions do not prevent criminal or civil action under law.
9. **Other legal actions:** Banks may take all actions under law including freezing assets in Nepal or abroad, and request government support for enforcement.

Chapter

9

11 Sections

Chapter 9

Provisions on Accounts, Records, Details and Reporting

58 Accounts to be maintained accurately

59 Balance-sheet, Profit and Loss Accounts to be prepared

60 Audit Committee

61 Functions, Duties and Powers of the Audit Committee

62 Auditing

63 Appointment and Remuneration of Auditor

64 Ineligibility for Appointment as Auditor

65 Details to be Furnished

66 Functions, Duties and Powers of Auditor

67 Recommendation for taking actions against Auditor

68 Auditor to certify

‘BANKING & FINANCIAL REGULATIONS: KEY SECTIONS OVERVIEW’

SECTION 58: ACCOUNTS TO BE MAINTAINED ACCURATELY



- **Accurate Accounts, Books, & Records.**
- **Use Double-Entry Bookkeeping** (Reflecting exact transactions).
- **Licensed Foreign Bank Branches: Maintain Separate Financial Statements** (Assets, Liabilities, Income, Expenses, P&L).
- **Maintain Accounts at Central Office** (Unless Rastra Bank approves otherwise).

SECTION 59: BALANCE-SHEET, PROFIT & LOSS ACCOUNTS



- **Prepare Balance Sheet, P&L, Cash Flow** (As prescribed by Rastra Bank).
- **Submit to Rastra Bank:** Within 3 months of fiscal year-end.
- **Publish Audited Statements:** Within 9 months.
- **Subsidiary Companies:** Financials separately & integrally stated.
- **Rastra Bank Prescribes:** Formats, certification, public disclosure.
- **Erroneous/Misleading Info:** Rastra Bank may require corrections or republication.

SECTION 60: AUDIT COMMITTEE



- **Formation:** 3 members led by a Non-Executive Director.
- **Exclusions:** Chairperson, sub-committee convener, and CEO cannot serve.
- **Prohibitions:** No deposits, credits, securities, or daily financial decisions for members.
- **Meetings:** Held once every 3 months (except special calls).
- **Committee sets its own procedures.**

SECTION 61: FUNCTIONS, DUTIES, AND POWERS OF AUDIT



- **(a) Monitor compliance:** Accounts, budget, internal audits, and controls.
- **(b) Conduct internal audits:** Of accounts and records, ensuring legal/regulatory compliance.
- **(c) Audit management, operations, and performance:** Full compliance with laws.
- **(d) Monitor adherence:** To Act, Rules, Byelaws, policies, & directives; submit reports.
- **(e) Recommend 3 auditors:** For external auditor appointment.
- **(f) Provide opinions:** To the Board on required subjects.

BANKING AUDITING FRAMEWORK: SECTION 62 - 65

SECTION 62: AUDITING

TIMELINE & REQUIREMENTS
Prepare Balance Sheet, P&L, Cash Flow within 4 months of fiscal year-end

SIGNATURES
Signed by 2 Directors, Chief Executive, Auditor

FOREIGN BANKS
Follow Rastra Bank formats

EXTENSION
Request extension up to 2 months from Rastra Bank

REPORT SUBMISSION
Auditor submits to Bank & Rastra Bank

SECTION 63: APPOINTMENT & REMUNERATION OF AUDITOR

APPOINTING BODY
General Meeting appoints Auditor

TERM LIMIT
Maximum 3 consecutive terms

QUALIFICATIONS
Class A/B/C: Chartered Accountant;
Class D: CA or Registered Auditor

VACANCY
Rastra Bank can appoint if needed; Board for remaining term

REMUNERATION
Determined by Appointing Body or Rastra Bank

SECTION 64: INELIGIBILITY FOR APPOINTMENT

INELIGIBLE PERSONS OR FIRMS
a) Promoter, Director, CEO or Family member
b) Bank official, employee, internal auditor
c) Partner of promoter, Director, employee
d) Borrower, significant owner, financial interest
e) Declared Bankrupt (Nepal/Abroad)
f) Subscribed >=1% shares
g) Criminal offense in last 5 years
h) Disqualified under laws

AUTO INVALID
Appointment becomes invalid if ineligible

SECTION 65: DETAILS TO BE FURNISHED

MANDATORY PROVISION
Bank must provide accounts, books, ledgers, statements, and after queries

OFFICER RESPONSIBILITY
Officer must furnish accurate statements & answers promptly to queries

SECTION 66: FUNCTIONS, DUTIES AND POWERS OF AUDITOR



AUDITING & REPORTING

- Conduct auditing of accounts and financial statements.
- Prepare audit report including balance sheet and P&L for the Board of Directors.
- Inform Board if irregularities or potential losses are identified.
- Notify Rastra Bank if:
  - License or Act/Rules/Bylaws violated
  - Regular activities adversely affected
  - Auditor is prevented from submitting or forced to falsify report





INSPECTION POWERS

- Inspect all accounting documents, ledgers, books, vouchers, and assets.
- Request explanations from Directors or officials.



AUDIT REPORT MUST INCLUDE

(a) Responses to queries.
(b) Accuracy of balance sheet, off-balance sheet transactions, P&L, cash flow, and compliance with Rastra Bank formats.
(c) Accuracy of accounts and records per prevailing laws.
(d) Irregularities or losses caused by officials.
(e) Proper credit write-offs.
(f) Compliance of bank transactions with Rastra Bank standards.
(g) Matters for shareholders.
(h) Matters required by law or Rastra Bank.
(i) Other suggestions deemed necessary by auditor.



ADDITIONAL FUNCTIONS BY RASTRA BANK

- Submit extra information.
- Expand audit scope (including subsidiaries).
- Conduct additional tests as directed.





SECTION 67: RECOMMENDATION FOR ACTION AGAINST AUDITOR

Rastra Bank may recommend removal of auditor from panel for 1–3 years for non-performance. Regulating authority must act as per prevailing laws.



SECTION 68: AUDITOR TO CERTIFY

Auditor must sign and date audited accounts, books, and ledgers to certify authenticity.

Chapter

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6 Sections

Chapter 10

Provisions on Merger and Acquisition

69 Bank or Financial institutions may be merged or acquisitioned

70 Application to be submitted for Merger or Acquisition

71 Provisions concerning Valuation of Assets and Liabilities

72 Provisions on Agreement

73 Provisions on Approval

74 Transactions may be acquired

SECTION 69 & 70: BANK MERGERS & ACQUISITIONS IN NEPAL

SECTION 69: M&A GENERAL PRINCIPLES

1 PERMISSION

Banks may merge or acquire other banks





- Class "D" may merge/acquire only same-class
- Infrastructure development banks cannot merge with or acquire others

2 RASTRA BANK POWERS TO ORDER M&A



RASTRA BANK

Reasons for M&A Order

- Capital fund inadequate or deteriorating for 3+ years
- Acts negatively affecting depositors' interests
- Enhance competitive capacity
- Single group with multiple banks having unhealthy relations
- Governance disputes arise frequently





3 PROCEDURES

- A simple conf procedures Rastra Bank Bank may specify.
- General procedures

SECTION 70: APPLICATION PROCESS FOR M&A

1 APPLICATION SUBMISSION

LEFT	RIGHT
MERGER APPLICATION (Merging Banks)	ACQUISITION APPLICATION (Principal & Target Banks)

Joint Application to Rastra Bank

- necessity
- latest auditor reports
  - balance sheet, P&L,
  - cash flow
  - net worth
- creditor protection
- asset/ liability report
- employee management plan
- legal approvals
- preliminary agreement

2 RASTRA BANK INQUIRY & APPROVAL



theoretical approval | additional conditions | directives

3 OUTCOME



Approved Merger OR Approved Acquisition

THEORETICAL APPROVAL IF M&A: does not negatively impact banking system, maintains fair competition, ensures compliance.

BANK MERGER & ACQUISITION PROCEDURES: SECTIONS 71-74

SECTION 71: VALUATION OF ASSETS & LIABILITIES

Theoretical Approval (Sec 70)

MERGER



ASSETS LIABILITIES

Bank Appoints Competent Valuator to Audit

Submit Results to Rastra Bank

Can be done before application.

ACQUISITION (Target Bank)



Target Bank audits assets/liabilities via auditor appointed by General Meeting/Board.

Acquiring bank may also conduct valuation.

RASTRA BANK POWERS



May remove uncredible valuators & order reappointment.

May issue directives on methods, bases, and scope.

Follow established norms & bases.

SECTION 72: PROVISIONS ON AGREEMENT



MERGER/ACQUISITION AGREEMENT
(Theoretical Approval)



- (a) Protect Depositors, Creditors, Shareholders
- (b) Valuation & Asset/ Liability Matching
- (c) Manage Investment, Inter-agency Ownership, Guarantees
- (d) Processes, Timelines, Costs
- (e) Operation/Management, Directors
- (f) Employee Matching & Conditions
- (g) Shareholder Details
- (h) New Entity Details (name, capital, restructuring)
- (i-j) Foreign Bank Approvals & Business Transfers
- (k) Stakeholder Grievance Handling
- (l) Compliance with Prevailing Laws
- (m) Other Details per Rastra Bank

SECTION 73: PROVISIONS ON APPROVAL

Step 1



Banks adopt Special Resolutions at General Meetings

Step 2



Submit Joint Applicatien with Agreement (Sec 72)

RASTRA BANK CONSIDERATIONS

(Approval granted based on):

1. **Healthy Competition** (no monopoly/ control practices)
2. **No Negative Impact on Market & Depositors**
3. **Fit & Proper Test** of significant **Promoters**



- If not approved, NRB to notify within 45 days.
- May grant privileges for difficult compliance.

SECTION 74: TRANSACTIONS MAY BE ACQUIRED





Any branch, office, property, or transaction may be acquired/transferred between banks on mutual consent.

Chapter

11

3 Sections

Chapter 11

Voluntary Liquidation of Banks or Financial Institutions

75 Voluntary Liquidation of Bank or Financial Institution

76 Initiation of Voluntary Liquidation

77 No Change in Liability

CHAPTER–11: VOLUNTARY LIQUIDATION OF BANKS OR FINANCIAL INSTITUTIONS

SECTION 75: VOLUNTARY LIQUIDATION OF BANK OR FINANCIAL INSTITUTION

Application:
Bank/FI willing to voluntary liquidation shall submit an application along with an action plan.

Rastra Bank Approval:
If Rastra Bank is satisfied that the bank/FI is fully capable of paying all credits and liabilities, it may grant theoretical consent with terms and conditions.

After obtaining theoretical approval, the bank/FI shall:

- a. Inform Office of Companies Registrar within **7 days**.
- b. Send notice to all depositors, creditors or concerned persons within **30 days**.
- c. Publish a notice in national newspapers within **30 days**.
- d. Carry out other acts as prescribed by Rastra Bank.

SECTION 76: INITIATION OF VOLUNTARY LIQUIDATION

1. **Initiation:**
The process of initiation is deemed to have started from the date of grant of final approval by Rastra Bank.

2. **Before final approval, bank/FI must:**
   - a. Refund/fulfill all deposits and liabilities within the set time limit.
   - b. Close operations; no new transactions to be carried on.
   - c. Exercise only powers essential for voluntary liquidation.

3. Rastra Bank may issue necessary directives in the course of carrying out these functions.

4. If any person entitled to payment does not claim within the prescribed time limit, the amount shall be deposited to the account as directed by Rastra Bank.

5. Approval of voluntary liquidation will not adversely affect the rights and interests of depositors and other creditors.

6. Bank/FI shall, upon completion of proceedings, submit an auditing report to Rastra Bank.

7. Rastra Bank shall grant final approval and revoke the license to carry out banking and financial transactions.

8. Amount for deposits not claimed shall be separetely retained as directed by Rastra Bank.

SECTION 77: NO CHANGE IN LIABILITY

There shall be no change in the liability of any shareholder, Director, Chief Executive, official, employee or other person arising out of this Act or any other prevailing laws due to the liquidation of any bank or financial institution under this Chapter.

KEY TIMELINES

- **7 DAYS** — Inform Office of Companies Registrar within **7 days** of theoretical approval.
- **30 DAYS** — Send notice to depositors/creditors within **30 days** of theoretical approval.
- **30 DAYS** — Publish notice in national newspapers within **30 days** of theoretical approval.
- Audit report to be submitted to Rastra Bank after completion of proceedings.

OVERALL FLOW OF VOLUNTARY LIQUIDATION

1. **Application**
Submit application with action plan.
→
2. **Theoretical Approval**
Rastra Bank grants theoretical consent.
→
3. **Notices & Intimations**
Inform authorities, send notices, publish in newspapers.
→
4. **Fulfill Liabilities**
Repay all deposits and liabilities; close operations.
→
5. **Audit & Compliance**
Submit audit report and comply with directives.
→
6. **Final Approval**
Rastra Bank grants final approval and revokes license.

Chapter

12

20 Sections

Chapter 12

Provisions on Mandatory Liquidation

78	Application may be filed before the Court for Mandatory Liquidation
79	Circumstances leading to Mandatory Liquidation
80	Transaction to be Suspended
81	Appointment of Liquidator
82	Functions, Duties and Powers of Liquidator
83	Effects of Order Relating to Liquidation
84	Records of Assets and Liabilities
85	Transactions may be terminated
86	Notice to submit claims
87	Liquidator may accept or reject claims
88	Classification of Claims
89	Liquidation Plan
91	Advance Payment may be made to Depositors Immediately
92	Powers to sell Assets
93	Notice of Settlement of Claims
94	Order of Priority for Payment
95	Unclaimed Goods or Amount
96	Decision of Liquidation
97	Mandatory Liquidation of Bank carrying on transactions without License
98	No claim to be entertained

‘UNDERSTANDING MANDATORY LIQUIDATION: SECTIONS 78, 79, 80’

SECTION 79: CIRCUMSTANCES LEADING TO MANDATORY LIQUIDATION

- Failure to Pay Matured or Due Deposits/Liabilities
- Negative Capital Fund
- Rastra Bank Inspection Report Recommending Liquidation
- Shareholders/Officials Obstructing Depositor Rights or System
- Frequent Violations of Act or Rastra Bank Directives
- Other Situations as Determined by Rastra Bank

2 SECTION 78: APPLICATION FOR MANDATORY LIQUIDATION

1. INITIATION BY RASTRA BANK



Rastra Bank Files Application to Court

Documents Include:
- Reasons (per S79)
- Financial Statements

Notice Published in National Daily

2. OTHER FILERS (WITH RB APPROVAL)



Joint Application of Depositors:

>25% Representation
OR
>1% of Total Depositors



Other Persons Competent under Prevailing Insolvency Law



COURT ORDER STARTS LIQUIDATION FROM DATE OF PASSING

SECTION 80: SUSPENSION OF TRANSACTIONS



IMMEDIATE ACTION:
Rastra Bank Suspends All Financial Transactions After Filing Application





Rastra Bank May Revoke License While Suspending Transactions

SECTION 81: APPOINTMENT OF LIQUIDATOR



Court Role:
May order Rastra Bank to recommend a liquidator.



Rastra Bank Role:
Recommends at least 3 licensed insolvency practitioners with banking/financial experience within 15 days.



Court Appointment:
Appoints one from the recommended candidates.



Liquidator appointment



Board/Staff: Board of Directors dissolved ipso facto; staff services terminated unless ordered otherwise.



Replacement: If Liquidator resigns, dies, or is deemed incompetent, Rastra Bank files to court for new appointment.

Remuneration:
Set by the court on Rastra Bank recommendation.



SECTION 82: FUNCTIONS, DUTIES AND POWERS OF LIQUIDATOR



COMMUNICATION & NOTICE

- Publish notice in Nepali & English national newspapers within 15 days.
- Inform Companies Registrar and deposit guarantee institutions within 15 days.
- Post order at principal office & branches; broadcast weekly for 4 weeks on TV/radio.



MANAGEMENT & OPERATIONS

- Take responsibility for office, books, accounts, records, and assets.
- Continue essential operations and functions of the institution.
- Appoint employees for assistance.
- Make expenses for operations, management, and liquidation.
- Coordinate with deposit security institutions.
- Exercise powers of shareholders, Board, and officials.



FINANCIAL ACTIONS

- Investigate business/financial status.
- Merge or transfer assets/liabilities to another institution with Rastra Bank approval.
- Secure credits using assets.
- Sell assets or terminate contracts/liabilities if beneficial.



LEGAL & RECOVERY ACTIONS

- Investigate fraud, misrepresentation, or cheating by officials, directors, or employees.
- Initiate or defend legal actions on behalf of the institution.
- Recover misused property or funds.



REPORTING & COMPLIANCE

- Submit quarterly reports on liquidation progress to Court and Rastra Bank.
- Perform other functions as required or prescribed by Rastra Bank.



Hurdles: May file to Court to remove difficulties in exercising powers; Court may order relief.



SECTION 83: EFFECTS OF ORDER RELATING TO LIQUIDATION (SUMMARY)

1. EFFECTS OF COURT ORDER (Sub-section 1)

(a) Limitation extended
All claims/rights of the bank are deemed extended for 6 months from the date of the court order.

(b) Release of assets
All property/assets under impediment or pledged (except as in (c)) are ipso facto released.

(c) Cessation of business
Accepting deposits and lending credits stop ipso facto.

(d) Stay of proceedings
All court cases against the bank are stopped and not revived unless otherwise ordered by the Court.
(Application to Supreme Court if required)

(e) No interest or extra charge
No interest or any additional charge shall be levied on the bank's liabilities.

(f) Restriction on share transfer
Shares cannot be transferred, mortgaged or alienated without prior approval of Rastra Bank.

2. ACTIONS CAUSING HARM OR LOSS (Sub-section 2)

If the Liquidator learns that any action taken before 6 months from the date of the order has caused harm/loss to depositors or creditors, the Liquidator shall apply to the Court and inform Rastra Bank.

3. ACTIONS THAT MAY BE DECLARED NULL & VOID (Sub-section 3)

The Court may declare the following actions null and void:

- Gifts or preferential benefits
- Acts causing loss to depositors/creditors
- Payments or transfer / release of collateral before repayment of credit
- Transactions/contracts causing more liability than normal practice
- Agreements/transactions other than permissible banking/financial transactions
- Contracts for employment of related persons

4. TRANSACTIONS THAT SHALL BE NULL & VOID (Sub-section 4)

TIME REFERENCE POINT:
Date of Court Order to initiate mandatory liquidation

6 MONTHS BEFORE	Preferential transactions made within 6 months before initiation or within 6 months after initiation.
1 YEAR BEFORE	Preferential transactions with related persons made within 1 year before or within 1 year after initiation.
1 YEAR BEFORE	Transactions at low price made within 1 year before or within 1 year after initiation.
2 YEARS BEFORE	Fraudulent transactions made within 2 years before or within 2 years after initiation.

The Liquidator shall apply to the Court to invalidate the transactions listed above.

5. ORDERS THAT COURT MAY ISSUE (Sub-section 6)

(a) Order to repay all or part of the amount paid by the bank.

(b) Order to return assets or pay equivalent value to Liquidator.

(c) Order to release credit or security pledged by the bank (in whole or in part).

(d) Order to invalidate/ inactivate or declare non-implementable agreements for pardon/surrender.

(e) Any additional order necessary for effective implementation.

6. INVALIDATION OF TRANSACTIONS – APPLICATION (Sub-section 5)

The Liquidator shall file an application to the Court to get the transactions mentioned in Sub-section (4) invalidated.

7. PERSONAL LIABILITY (Sub-section 7)

Directors, officials, employees or any other person committing the acts in Sub-section (3) or (4), causing loss/damage to the bank or financial institution, shall be personally liable to compensate such loss or damage.

SECTION 84: RECORDS OF ASSETS & LIABILITIES | SECTION 85: TERMINATION OF TRANSACTIONS

SECTION 84: RECORDS OF ASSETS & LIABILITIES



IMMEDIATE RECORD

Liquidator must prepare a record of assets, liabilities, and potential liabilities.

RECORD CONTENTS

- Liabilities to depositors and creditors
- Complete assets, liabilities, and estimated costs
- Contracts for services
- Significant transactions made in the 6 months before the liquidation order

SUBMISSION

RASTRA BANK (1 Copy)

RETAINED AT BANK/FI (1 Copy)

UPDATES

Updated every trimester; available for creditor inspection.

SECTION 85: TRANSACTIONS MAY BE TERMINATED



Within 6 months of court's liquidation order.

TRAMINATION PERIOD

- Employment contracts (person with papers)
- Service contracts involving the bank

TRANSACTIONS THAT CAN BE TERMINATED

- Employment contracts
- Service contracts involving the bank
- Trustee functions and contracts
- Regular functions or branch operations as needed
- Unlimited liabilities
- Other functions as prescribed by Rastra Bank

6 MONTHS BEFORE ORDER
Include significant transactions in record

ORDER DATE
Liquidator begins recording assets/liabilities

NEXT 6 MONTHS
Termination of specified contracts and transactions

COMPENSATION

Only amounts due up to termination date may be claimed; no additional claims.

LIQUIDATION PROCESS: SUBMITTING & PROCESSING CLAIMS (SECTIONS 86-88)

SECTION 86: NOTICE TO SUBMIT CLAIMS

Liquidator must publish notice asking claimants to submit claims within 1 month.

METHODS:

1) National Newspapers in Nepali and English

2) Main Business Locations, Bank Branches, and All Offices in a Conspicuous Manner

SECTION 87: LIQUIDATOR MAY ACCEPT OR REJECT CLAIMS

- **INQUIRY PERIOD:** Liquidator has **90 days** from submission to accept or reject claims fully or partially.
- **NOTIFICATION:** Decision sent to claimant and public notice published.
- **RE-SUBMISSION:** Claimant may submit additional evidence within **15 days** for partial rejection/acceptance.
- **MODIFICATION:** Liquidator may change claims partially or wholly if needed.
- **APPEAL:** Claimant dissatisfied may appeal to court within **21 days** of receiving decision.

SECTION 88: CLASSIFICATION OF CLAIMS

- Claims recorded separately as accepted, partially accepted, rejected, or disputed.

  [Partially Accepted] → Included in Accepted List (Remainder in Rejected List)

- **DETAILS REQUIRED:** Name, address, place, date, payment amount, and collateral status.
- Secured creditors' claims must be separately classified.
- Approved claims are prioritized for payment.

TIMELINE HIGHLIGHT

1. NOTICE PUBLISHED	2. CLAIM REVIEW	3. RESUBMISSION	4. APPEAL PERIOD
1 MONTH	90 DAYS	15 DAYS	21 DAYS
SUBMIT CLAIMS	ACCEPTANCE/ REJECTION	ADDITIONAL EVIDENCE	FILE AT COURT

INFOGRAPHIC: LIQUIDATION PROCESS (SECTIONS 89, 90, 91)

Based on Nepal Rastra Bank Directives

SECTION 89: MEETING OF CREDITORS



Creditors & Liquidator

Creditors may form a **Meeting of Creditors** to discuss and reach consensus. Liquidator coordinates discussions based on Rastra Bank directives.

SECTION 90: LIQUIDATION PLAN





Liquidator prepares within **30 DAYS** after claim classification (Section 88). Submitted to Court for informing Rastra Bank.

CONTENTS:

- Assets & Liabilities Details
- Past & Projected Incomo & Expenditure
- Status of Gngoing Transactions
- Court Decisions/ Orders
- Actions for Compensation (from Onectors/ Officers/Empioyees)
- Claims Classification & Payment Priority
- Plan for Asset Sale & Liquidity
- Payment Schedule to Depositors & Creditors (Next 90 days)
- Costs & Expenses of Liquidation
- Other Details as Specified by NRB

- Updated **QUARTERLY**
- Available for **CREDITOR INSPECTION** (Court-Approved)

NO RECAPITALISATION during compulsory liquidation

SECTION 91: ADVANCE PAYMENT TO DEPOSITORS



Adjusted against **FINAL PAYMENTS** (Section 94)

MANDATORY LIQUIDATION INITIATION

COORDINATED DISCUSSIONS (POST-INITIATION)

CLAIM CLASSIFICATION

PLAN SUBMISSION (WITHIN 30 DAYS)

QUARTERLY UPDATES

IMMEDIATE DISTRIBUTION

FINAL LIQUIDATION PAYMENTS (Section 94)

TIMELINE HIGHLIGHTS

MEETING OF CREDITORS:
Coordinated discussions post-mandatory liquidation initiation

LIQUIDATION PLAN:
30 days from claim classification, updated quarterly

ADVANCE PAYMENT:
Immediate distribution up to NPR 100,000 per account

SECTIONS 92–98: MANDATORY LIQUIDATION OF BANKS & FINANCIAL INSTITUTIONS

KEY PROVISIONS AT A GLANCE

92 POWERS TO SELL ASSETS

Liquidator may sell/auction all assets of the bank/financial institution (subject to Rastra Bank directives).

a. At market places where securities, foreign currencies or other assets can be easily sold.

b. By creditors for securities, foreign currencies or other assets that can be easily sold.

c. If auction does not yield reasonable value, may sell in any other manner.

d. Other provisions as prescribed by Rastra Bank.

93 NOTICE OF SETTLEMENT OF CLAIMS

Liquidator shall publish and broadcast public notice stating the nature, quantity and order of priority for payment of claims as per the liquidation plan.

94 ORDER OF PRIORITY FOR PAYMENT

Liabilities shall be paid in the following order of priority:

1. Expenses of mandatory liquidation
2. Deposit security/insurance payments (as per law, within approved limit)
3. Remaining deposits after payment under (2)
4. Salaries, allowances & other employee liabilities
5. Dues to Government of Nepal, local bodies & Rastra Bank
6. Outstanding amounts to other banks/financial institutions (fees/valuation amounts)
7. Other creditors & other claims
8. Shareholders (as per prevailing laws)

Unsold assets may be transferred to a creditor in lieu of dues (as per Rastra Bank norms) if creditor agrees in writing.

Assets pledged as security for secured creditors shall be used only to satisfy their liabilities.

95 UNCLAIMED GOODS OR AMOUNT

If any person does not collect the amount or goods within the specified time after notice is issued under this Chapter, such amount or goods shall be kept under the responsibility of the Liquidator or other body as directed by Rastra Bank.

96 DECISION OF LIQUIDATION

1. Liquidator applies to Court after completing liquidation activities.
2. Court inquires & may declare bank/financial instittution duly liquidated.
3. Liquidator publishes Court decision in national newspapers (Nepali or English) mentioning key points of the order & report.
4. Liquidator requests Company Registrar to remove the name; Registrar publishes removal in Nepal Gazette.
5. After Gazette notice, liquidation is completed & the bank is deemed dissolved.
6. Liquidation does not absolve directors, officials, employees, shareholders or other persons from their liabilities under this Act or other prevailing laws.

97 MANDATORY LIQUIDATION – MULTI-COUNTRY OPERATIONS

For branches of banks/financial institutions operating in more than one country, the liquidation process shall be determined by Rastra Bank considering best international practices.

Provided that for subsidiaries of such banks/financial institutions operating in more than one country, liquidation shall be as per this Chapter.

98 NO CLAIM TO BE ENTERTAINED

Creditors or other persons who do not submit claims within the time prescribed in the notice under Section 86 shall not be entitled to make the claim after that.

PROVIDED THAT:

For depositors' accounts, absence of claim shall not affect their right to the amount in their account.

Chapter

13

8 Sections

Chapter 13

Provisions on Actions, Offences and Punishment

99 Regulatory Actions may be taken

100 Fines may be imposed

101 Procedures of Actions

102 Control over the Licensed Institutions

103 Offences

104 Punishment

105 Appeal

106 No obstruction to Punishment

SECTION 99: REGULATORY ACTIONS BY RASTRA BANK

REGULATORY ACTIONS AGAINST BANKS OR FINANCIAL INSTITUTIONS



- Written Warnings
- Deeds of Commitment
- Orders to Take Reformative Steps
- Prohibit Dividend Distribution
- Prohibit Bonus Shares
- Limit or Prohibit Accepting Deposits & Disbursing Credits
- Complete or Partial Ban on Transactions

LICENSE SUSPENSION OR REVOCATION



- Banking operations not started within 6 months
- Unauthorized closure of banking operations
- Operation against depositors' interests
- Violations of Rastra Bank Act, Banking Act, rules, directives, license conditions
- False information during licensing or unguaranteed deposits

ACTIONS AGAINST PROMOTERS, DIRECTORS, OFFICIALS, EMPLOYEES



- Forfeiture or freezing of shares
- Suspension of allowances, remunerations, or facilities
- Removal from position if acting against depositors' interests
- Public notice of action if no explanation submitted
- Recovery of improper remuneration or facilities
- Recovery of losses caused by recklessness or negligence
- 35-day deadline for personal payment, recoverable from assets/accounts

COST RECOVERY



Banks or financial institutions must pay expenses for public notices issued by Rastra Bank regarding regulatory actions



RASTRA BANK REGULATORY FRAMEWORK: SECTIONS 100, 101, 102

SECTION 100: FINES MAY BE IMPOSED



Against Bank or Financial Institution: Daily Fines for Non-submission



Daily Fine:

- **Rs100,000/day** (up to 1 week)
- **Rs125,000/day** (up to 2 weeks)
- **Rs150,000/day** (after 2 weeks, indefinite)

Against Promoter, Director, CEO, Official, Employee:



Fine up to ₹1,000,000 (depending on severity)

Payment and Recovery:



Fine unpaid within 3 days → recovered from bank's account at Rastra Bank

Cash fines deposited to Government fund

SECTION 101: PROCEDURES OF ACTIONS

Notice and Defense:



Written notice of 7 7 days to defend position



Submit written clarification within 7 days



Decision:



If satisfactory → Rastra Bank may amend, delimit, or dismiss charge



If not satisfactory





Take action under Section 99 or impose fines (Sec. 100)



Other Procedures: As prescribed by Rastra Bank



SECTION 102: CONTROL OVER LICENSED INSTITUTIONS

Suspension & Control:



Suspend Board of Directors (up to 3 years) if violations, failure, or against interests. interests.

Bank taken under **Rastra Bank control.**

Management under Rastra Bank:

1. **Manage bank** (Rastra Bank/Appointed Entity)
2. **Conduct & publish financial/ management audit** (within 1 year)



Post-Audit Actions:

If capable:

- Return management to Board
- Form new Board (Shareholders)
- General Meeting → new Board

If not capable:

Initiate mandatory liquidation or settlement



Defense: max 15 days to defend



Expenses: Bank bears all costs



Notification: Inform Govt of Nepal & Ministry of Finance

RASTRA BANK REGULATORY FRAMEWORK: SECTIONS 103, 104, 105, 106

SECTION 103: OFFENCES

Acts considered offences:

- Conducting banking/financial transactions without a license
- Obtaining license with false statements
- Operations beyond terms or limits of license
- Conducting foreign exchange business without a license
- Disbursing credit against Act provisions
- Irregularities in valuation, auctions, collateral, or non-banking assets
- Irregularities in merger, acquisition, liquidation, or auditing
- Attempting or abetting offences

Liability:

- **Director, official,** or **person abetting** is liable unless proven otherwise
- **Foreign branch officials transferring assets** abroad outside regular transactions → offence

SECTION 104: PUNISHMENT

Offence Category (from Sec.103)	Punishment for Individuals
Clause (a) No license for transactions	**Confiscate amount** Fine up to **3×** involved amount Imprisonment up to **5 years**
Clause (b) False license statements	**Confiscate amount** Fine up to **2×** involved amount Imprisonment up to **2 years**
Clauses (c-g) Other unlicensed ops/credit rules/irregularities	**Confiscate amount** **Fine = involved amount** Imprisonment up to **1 year**
Clause (h) Attempt/abetment	**Confiscate amount** **Fine = half principal punishment**

Additional:

- Consider total amount involved
- No amount revealed → fine **₹1,000,000–₹5,000,000**
- Firms/companies → punish responsible Director/official; if unknown, punish chief
- **Concealed proceeds** → property & accrued property confiscated

SECTION 105: APPEAL

- **Against actions (Sec.99) or fines (Sec.100)**
- **File appeal** within **35 days** of order
- **Shareholder appeal → ≥25% paid-up** capital representation
- **Deposit for appeal: 50%** of fine or ordered amount
- **Restriction:** Removed/dismissed persons cannot hold similar position in another bank for **5 years** or until final appeal decision

SECTION 106: NO OBSTRUCTION TO PUNISHMENT

Retirement or **no longer holding the position DOES** prevent actions for offences under Section 103

Chapter

14

28 Sections

Chapter 14

Miscellaneous

107 Special Provisions on Infrastructure Development Bank

108 Security of Deposits to be made

109 Banking Secrecy to be Maintained

110 Power to give Directive to freeze Accounts

111 Right to Claims over the Deposits

112 Statement of Unclaimed Deposits

113 Recovery from or confiscation of deposits

114 Recovery from Director

115 Claims may not be made

116 Government of Nepal to be plaintiff

117 Provisions on Transparency

118 Provisions on Protection of Customers' Interests

119 Exemption and facilities

120 Expenditures Management

121 Statement of Assets to be submitted

122 Credit, Liabilities and Titles against the Collateral of Credit may be purchased

123 Settlement of Disputes

124 Not to be liable for acts done in good faith

125 Actions taken not to be invalidated

126 Study Committee or Sub-committee may be formed

127 Oath of Office

SECTION 111 & SECTION 112: BANKING DEPOSIT CLAIM REGULATIONS

SECTION 111: RIGHT TO CLAIMS OVER DEPOSITS

EXCLUSIVE RIGHT



Only the **ACTUAL DEPOSITOR** can claim.
No third-party claims entertained.

DEATH OF DEPOSITOR

NOMINEE HAS FIRST RIGHT (if appointed)

NO NOMINEE OR DECEASED

DESCENDING RELATIVES PRIORITY ORDER

1. Husband/Wife (Joint Family)
2. Son, Daughter, Adopted, Widow DIL (Joint)
3. Father, Mother, Grandson, GD (Joint)
4. Husband, Wife, Son, Daughter, Father, Mother, DIL, Married Daughter (Living Separately)
5. GF, GM, Brother, Sister, Nephew, Niece (Joint/Separate)
6. Stepmother (Joint), Grandson, Unmarried GD (Son's line)
7. Elder/Younger Brother, Nephew, Niece, Sister, Nephew, Niece (Living Separately)
8. Uncle, Widowed Aunt, SIL, GD-in-law (Joint)
9. Married Sisters, GD-in-law (Living Separately)

NO SUCCESSORS



BANKING DEVELOPMENT FUND OF RASTRA BANK



APPROVAL REQUIRED

Entitled person must approve deposit release.

SECTION 112: STATEMENT OF UNCLAIMED DEPOSITS



ANNUALLY

A bank submits to Rastra Bank a Statement of Unreported/ Unclaimed Deposits (≥-10 years).
- First month of fiscal year.





PUBLICATION

- Notice for collection every 5 years.
- Details on bank websites.



LONG-TERM UNCLAIMED DEPOSITS (20 YEARS)

If unclaimed for 20 years, deposit transferred for banking development.



If unclaimed for 20 years, deposit transferred for banking development.

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